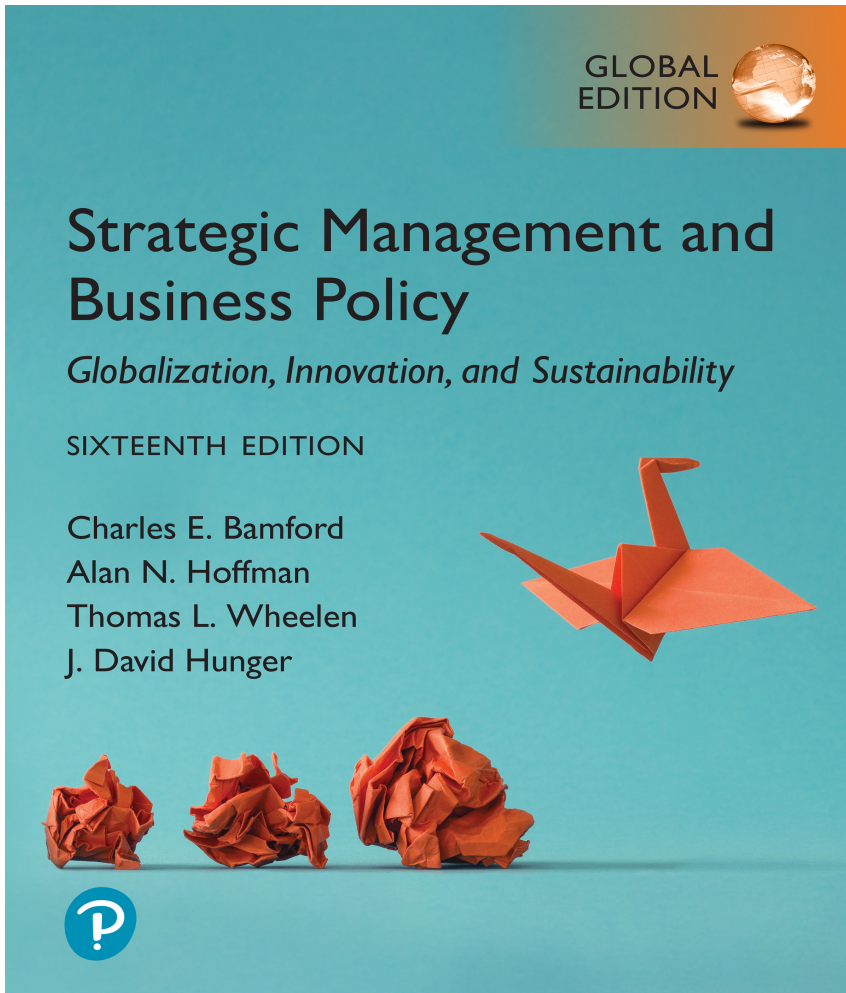


Strategic Management and Business Policy: Globalization, Innovation and Sustainability

Sixteenth Edition, Global Edition



Chapter 10

Strategy Implementation: Organizing and Structure

Learning Objectives (1 of 2)

10.1 Describe the major issues that impact successful strategy implementation

10.2 Explain how you would develop programs, budgets, and procedures to implement strategic change

10.3 List the stages of corporate development and the structure that characterizes each stage

Learning Objectives (2 of 2)

10.4 Explain how matrix, network, and modular structures are used to implement strategy

10.5 Discuss the issues related to centralization versus decentralization in structuring organizations

Strategy Implementation (1 of 4)

- **Strategy implementation**
 - the sum total of all activities and choices required for the execution of a strategic plan
 - It is the process by which objectives, strategies, and policies are put into action through the development of programs and tactics, budgets, and procedures.

Strategy Implementation (2 of 4)

- **Who** are the people to carry out the strategic plan?
- **What** must be done to align company operations in the new intended direction?
- **How** is everyone going to work together to do what is needed?

Strategy Implementation (3 of 4)

There are ten common strategy implementation problems

1. Took more time than planned
2. Unanticipated major problems
3. Ineffective coordination
4. Competing activities and crises created distractions
5. Employees with insufficient capabilities

Strategy Implementation (4 of 4)

6. Lower-level employees were inadequately trained
7. Uncontrollable external environmental factors
8. Poor departmental leadership and direction
9. Key implementation tasks and activities were poorly defined
10. The information system inadequately monitored activities

Who Implements Strategy?

- Depending on how a corporation is organized, those who implement strategy will probably be a much more diverse set of people than those who formulate it
- Implementers of strategy are everyone in the organization
- One of the goals of effective strategy implementation is to get as many employees as possible into a **Zone of Acceptance** where they not only understand but accept the changes at the organization

What Must Be Done?

Developing Programs, Budgets, and Procedures

- Program
 - a collection of tactics where a tactic is the individual action taken by the organization as an element of the effort to accomplish a plan
- The purpose of a **program** or a tactic is to make a strategy action-oriented.

Timing Tactics: When to Compete (1 of 2)

- **Competitive tactic**
 - a specific operating plan that details how a strategy is to be implemented in terms of when and where it is to be put into action
- **Timing tactic**
 - deals with **when** a company implements a strategy
- **First mover**
 - first company to manufacture and sell a new product or service

Timing Tactics: When to Compete (2 of 2)

- **Late movers**
 - may be able to imitate the technological advances of others, keep risks down by waiting until a new technological standard or market is established, and take advantage of the first mover's natural inclination to ignore market segments

Market Location Tactics: Where to Compete

- **Market location tactic**
 - deals with **where** a company implements a strategy
- **Offensive tactic**
 - usually takes place in an established competitor's market location
- **Defensive tactic**
 - usually takes place in the firm's own current market position as a defense against possible attack by a rival

Budgets and Procedures

- Planning a **budget** is the last real check a corporation has on the feasibility of its selected strategy.
- **Procedures**
 - detail the various activities that must be carried out to complete a corporation's programs
 - standard operating procedures

Achieving Synergy (1 of 2)

- **Synergy**
 - exists for a divisional corporation if the return on investment is greater than what the return would be if each division were an independent business

Achieving Synergy (2 of 2)

The six forms of synergy are:

1. Shared know-how
2. Coordinated strategies
3. Shared tangible resources
4. Economies of scale or scope
5. Pooled negotiating power
6. New business creation

Structure Follows Strategy

- **Structure follows strategy**
 - changes in corporate strategy lead to changes in organizational structure
1. New strategy is created.
 2. New administrative problems emerge.
 3. Economic performance declines.
 4. New appropriate structure is created.
 5. Economic performance rises.

Stages of Corporate Development

I. Simple Structure

- Flexible and dynamic

II. Functional Structure

- Entrepreneur is replaced by a team of managers

III. Divisional Structure

- Management of diverse product lines in numerous industries
- Decentralized decision making

IV. Beyond SBU's

- Matrix
- Network

Table 10-1 Factors Differentiating Stage I, II, and III Companies (1 of 2)

Function	Stage I	Stage II	Stage III
1. Sizing up: Major problems	Survival and growth dealing with short-term operating problems	Growth, rationalization, and expansion of resources, providing for adequate attention to product problems	Trusteeship in management and investment and control of large, increasing, and diversified resources. Also, important to diagnose and act on problems at division level
2. Objectives	Personal and subjective	Profits and meeting functionally oriented budgets and performance targets	ROI, profits, earnings per share
3. Strategy	Implicit and personal; exploitation of immediate opportunities seen by owner-manager	Functionally oriented moves restricted to “one product” scope: exploitation of one basic product or service field	Growth and product diversification; exploitation of general business opportunities
4. Organization: Major characteristic of structure	One unit, “one person show”	One unit, functionally specialized group	Multiunit general staff office and decentralized operating divisions

Table 10-1 Factors Differentiating Stage I, II, and III Companies (2 of 2)

Function	Stage I	Stage II	Stage III
5. (a) Measurement and control	Personal, subjective control based on simple accounting system and daily communication and Observation	Control grows beyond one person assessment of functional operations necessary; structured control systems evolve	Complex formal system geared to comparative assessment of performance measures, indicating problems and opportunities, and assessing management ability of division managers
5. (b) Key performance indicators	Personal criteria, relationships with owner, operating efficiency, ability to solve operating problems	Functional and internal criteria such as sales, performance compared to budget, size of empire, status in group, personal, relationships, etc.	More impersonal application of comparisons such as profits, ROI, P/E ratio, sales, market share, productivity, product leadership, personnel development, employee attitudes, public responsibility
6. Reward–punishment system	Informal, personal, subjective; used to maintain control and divide small pool of resources for key performers to provide personal Incentives	More structured; usually based to a greater extent on agreed policies as opposed to personal opinion and relationships	Allotment by “due process” of a wide variety of different rewards and punishments on a formal and systematic basis. Companywide policies usually apply to many different classes of managers and workers with few major exceptions for individual cases.

Source: Donald H. Thain, “Stages of Corporate Development,” **Ivey Business Journal** (formerly **Ivey Business Quarterly**), Winter 1969, p. 37. Copyright © 1969, Ivey Management Services. One-time permission to reproduce granted by Ivey Management Services.

Table 10-2 Organizational Life Cycle

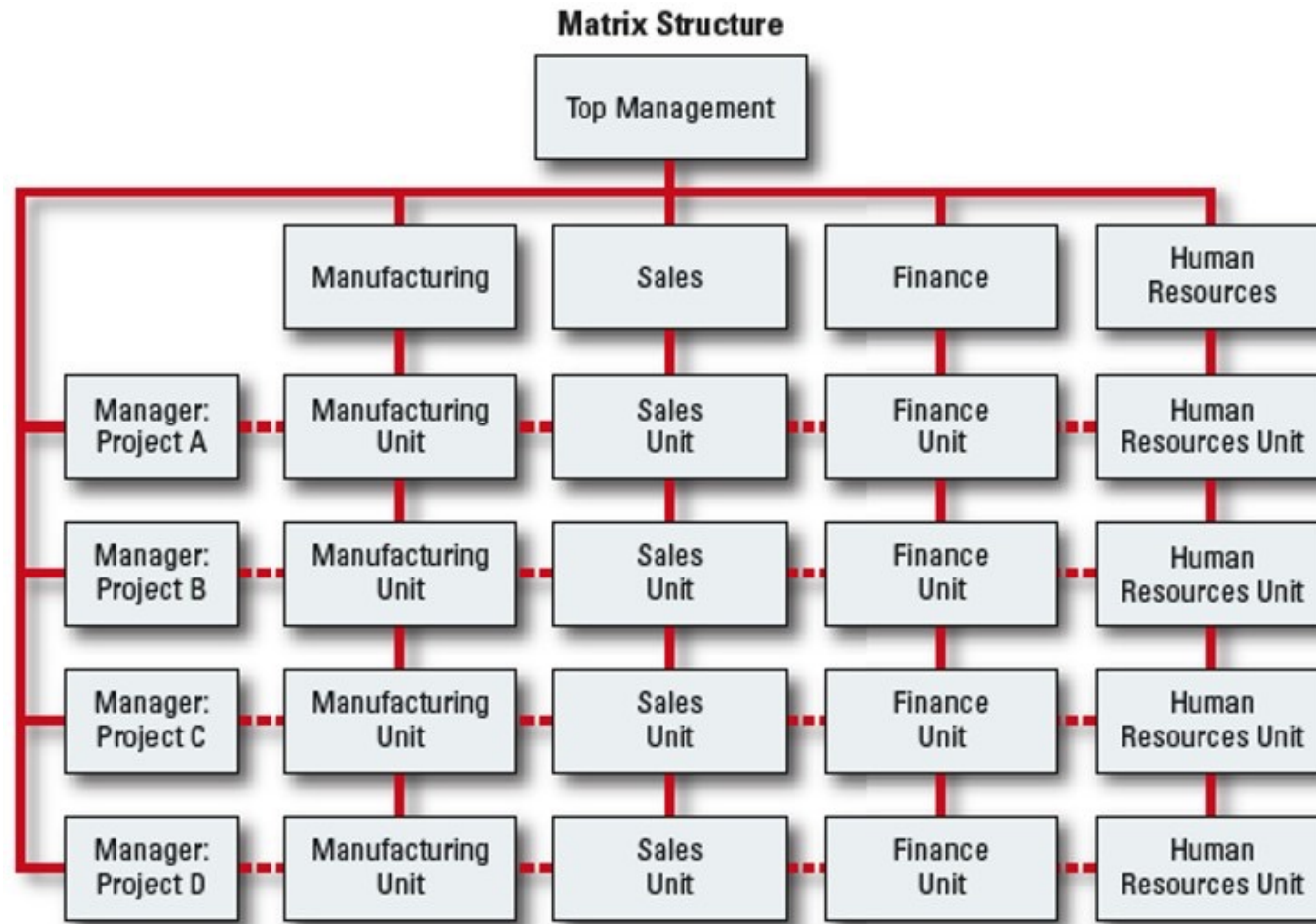
	Stage I	Stage II	Stage III *	Stage IV	Stage V
Dominant Issue	Birth	Growth	Maturity	Decline	Death
Popular Strategies	Concentration in a niche	Horizontal and vertical growth	Concentric and conglomerate diversification	Profit strategy followed by retrenchment	Liquidation or bankruptcy
Likely Structure	Entrepreneur dominated	Functional management emphasized	Decentralization into profit or investment centers	Structural surgery	Dismemberment of structure

Note: *An organization may enter a Revival phase either during the Maturity or Decline stages and thus extend the organization's life, especially if it has significant financial reserves.

Flexible Types of Organizational Structure (1 of 3)

- **Matrix structures**
 - functional and product forms are combined simultaneously at the same level of the organization

Figure 10-1 Matrix Structure



Flexible Types of Organizational Structures (2 of 3)

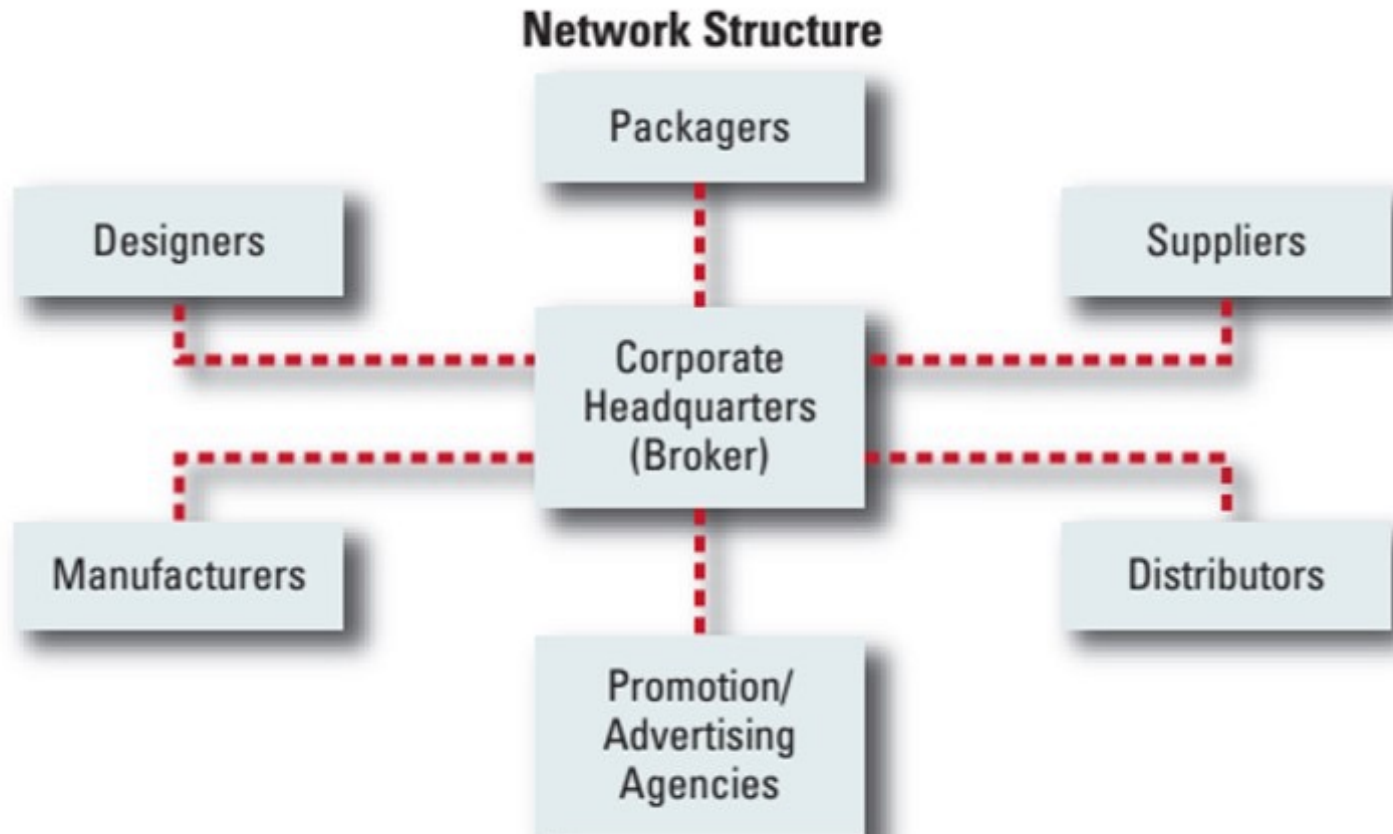
Conditions for **matrix structures** include:

- Ideas need to be cross-fertilized across projects or products.
- Resources are scarce.
- Abilities to process information and to make decision needs to be improved.

Flexible Types of Organizational Structures (3 of 3)

- **Network structure**
 - virtual elimination of in-house business functions
- **Virtual organization**
 - Composed of a series of project groups or collaborations linked by constantly changing nonhierarchical, cobweb-like electronic networks

Figure 10-1 Network Structure



Cellular/Modular Organization: A New Type of Structure?

- **Cellular/modular structure**
 - composed of cells (self-managing teams, autonomous business units, etc.) which can operate alone but which can interact with other cells to produce a more potent and competent business mechanism
- Beginning to appear in firms that are focused on rapid product and service innovation.

Reengineering and Strategy Implementation (1 of 3)

- **Reengineering**
 - the radical redesign of business processes to achieve major gains in cost, service, or time
 - effective program to implement a turnaround strategy

Reengineering and Strategy Implementation (2 of 3)

The principles of reengineering include:

- Organize around outcomes, not tasks.
- Have those who use the output of the process perform the process.
- Subsume information-processing work into real work that produces information.
- Treat geographically dispersed resources as though they were centralized.

Reengineering and Strategy Implementation (3 of 3)

- Link parallel activities instead of integrating their results.
- Put the decision point where the work is performed and build control into the process.
- Capture information once and at the source.

Six Sigma (1 of 2)

- **Six Sigma**
 - analytical method for achieving near-perfect results on a production line
 - emphasis on reducing product variance in order to boost quality and efficiency
- **Lean Six Sigma**
 - includes the removal of unnecessary steps in any process and fixing those that remain

Six Sigma (2 of 2)

The process of Six Sigma encompasses five steps which are:

1. **Define** a process where results are poorer than average.
2. **Measure** the process to determine current performance.
3. **Analyze** the information to pinpoint where things are going wrong.
4. **Improve** the process and eliminate the error.
5. **Establish** controls to prevent future defects from occurring.

Designing Jobs to Implement Strategy (1 of 2)

- **Job design**
 - the study of individual tasks in an attempt to make them more relevant to the company and to the employees
- **Job design techniques:**
 - **Job enlargement**

combining tasks to give a worker more of the same type of duties to perform
 - **Job rotation**

moving workers through several jobs to increase variety

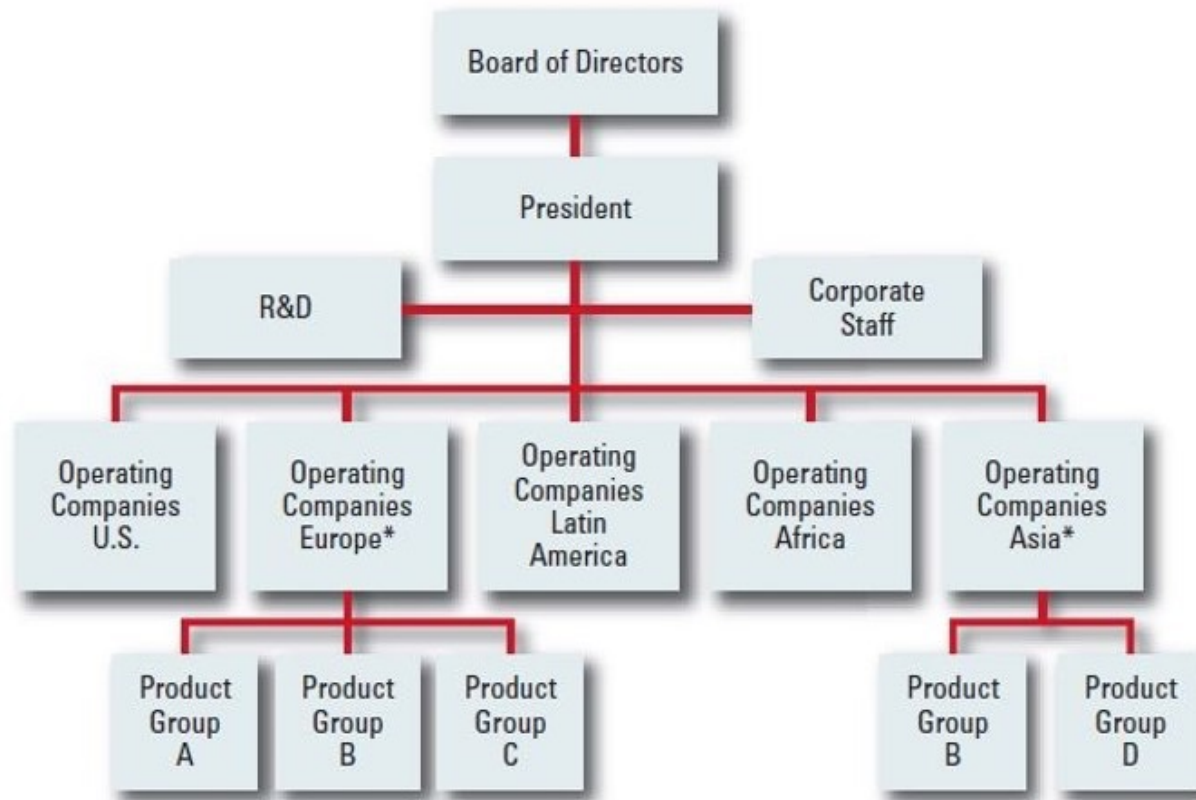
Designing Jobs to Implement Strategy (2 of 2)

- **Job characteristics**
 - using task characteristics to improve employee motivation
- **Job enrichment**
 - altering the jobs by giving the worker more autonomy and control over activities

Centralization Versus Decentralization

- **Product-group structure**
 - enables the company to introduce and manage a similar line of products around the world
 - enables the corporation to centralize decision making along product lines and to reduce costs
- Geographic-area structure
 - allows the company to tailor products to regional differences and to achieve regional coordination

Figure 10-2 Geographic-Area Structure for an MNC



***Note:** Because of space limitations, product groups for only Europe and Asia are shown here.

Q & A